

Closing the Care Gap

*A Data-Driven Case for A
Childcare Stipend*

DSC640-T301 Data Presentation & Visualization
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Childcare is unaffordable everywhere

- The childcare burden is defined as:

$$\text{Childcare burden} = \frac{\text{annualized childcare cost}}{\text{median household income}}$$

- A childcare burden of 7% is the national benchmark for affordability
- Over 99% of counties exceed the benchmark
- This is a systemic problem and not an isolated case

Childcare Affordability Snapshot

99.1%

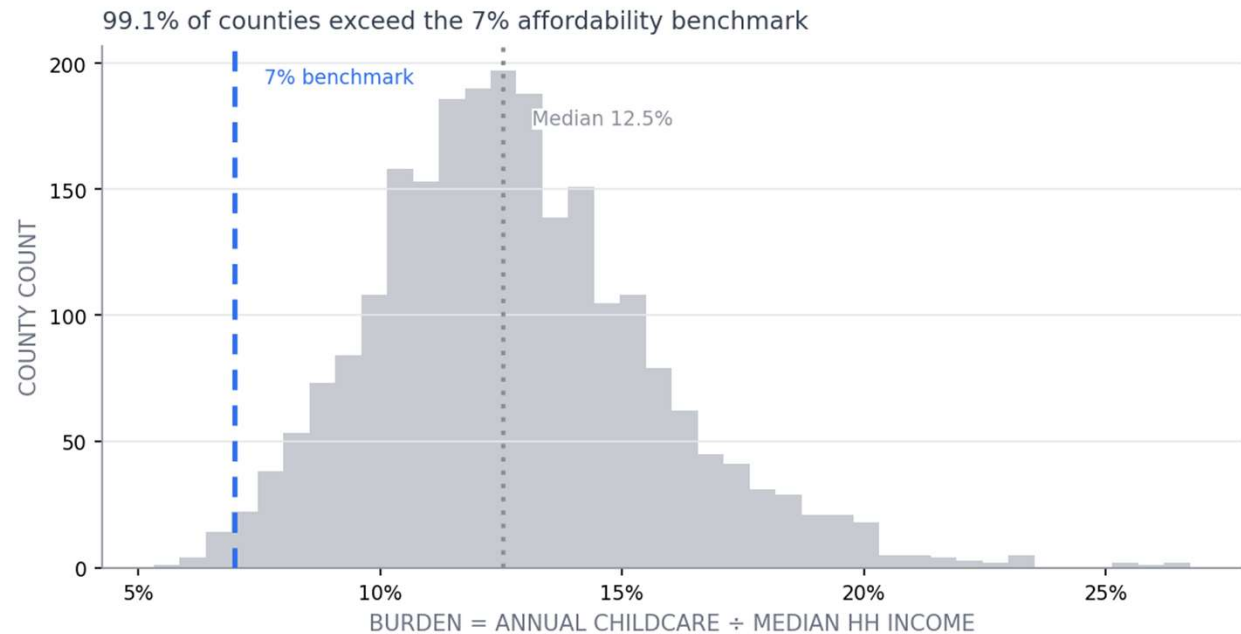
of 2,348 counties exceed the 7% affordability benchmark

Year: 2018 | Metric: MFCCInfant (annualized) ÷ MHI

What the childcare “burden” looks like nationally

- Most families are far to the right of the 7% benchmark
- Median childcare burden is 12.5%

Childcare Burden Distribution — 2018



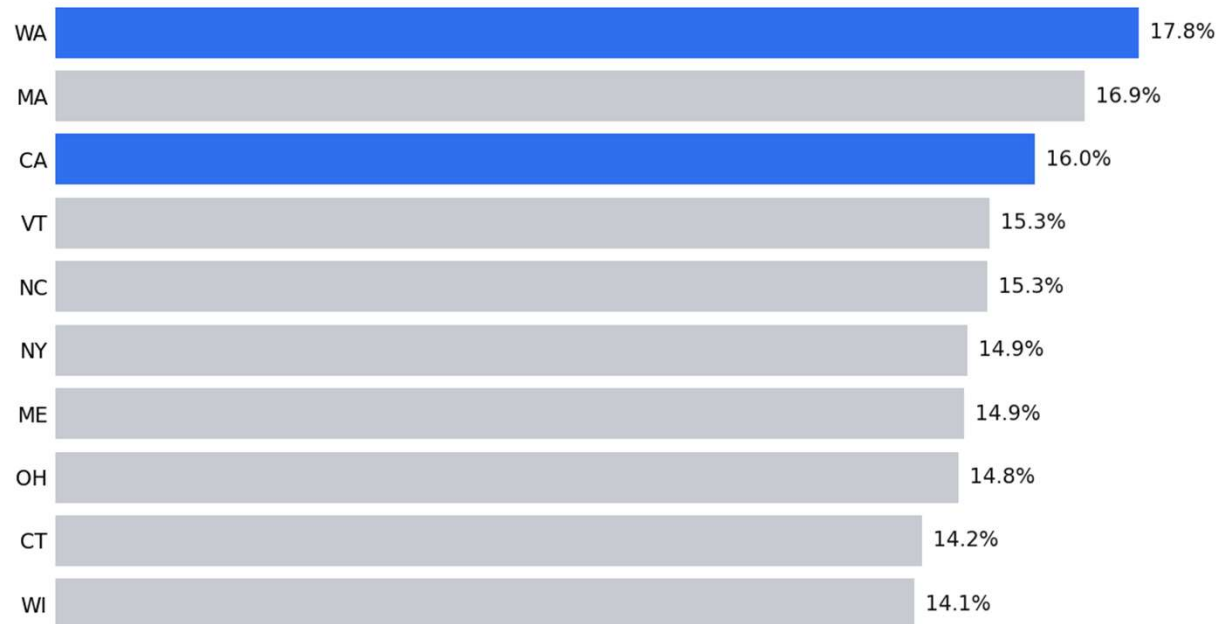
Source: National Database of Childcare Prices

Where we operate

- Insert bar chart depicting states ranked by median childcare burden with WA and CA in an accent color
- Improve visualization by removing gridlines, better color choices and alignment.
- Our core talent markets are one of the hardest hit from this burden.

States with Highest Median Childcare Burden — 2018

Top 10 with CA and WA highlighted

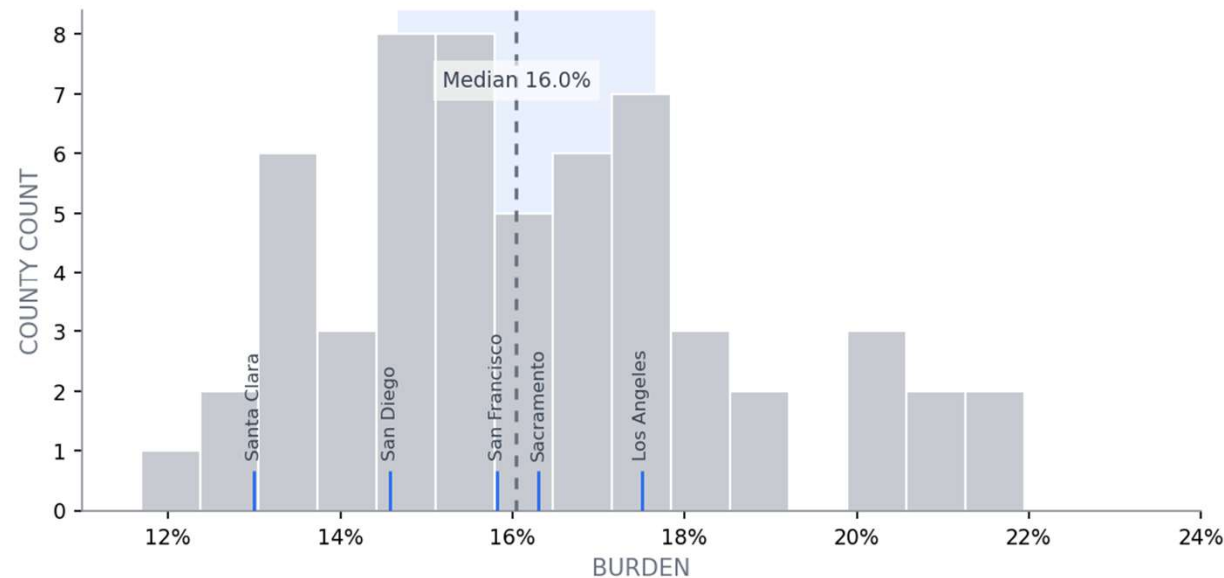


Source: National Database of Childcare Prices

California snapshot

- All counties shown is above 7% national benchmark
- Major hubs in California: LA, Sacramento, and SF among highest
- The affordability gap is universal across California counties

Affordability Snapshot for California: 2018

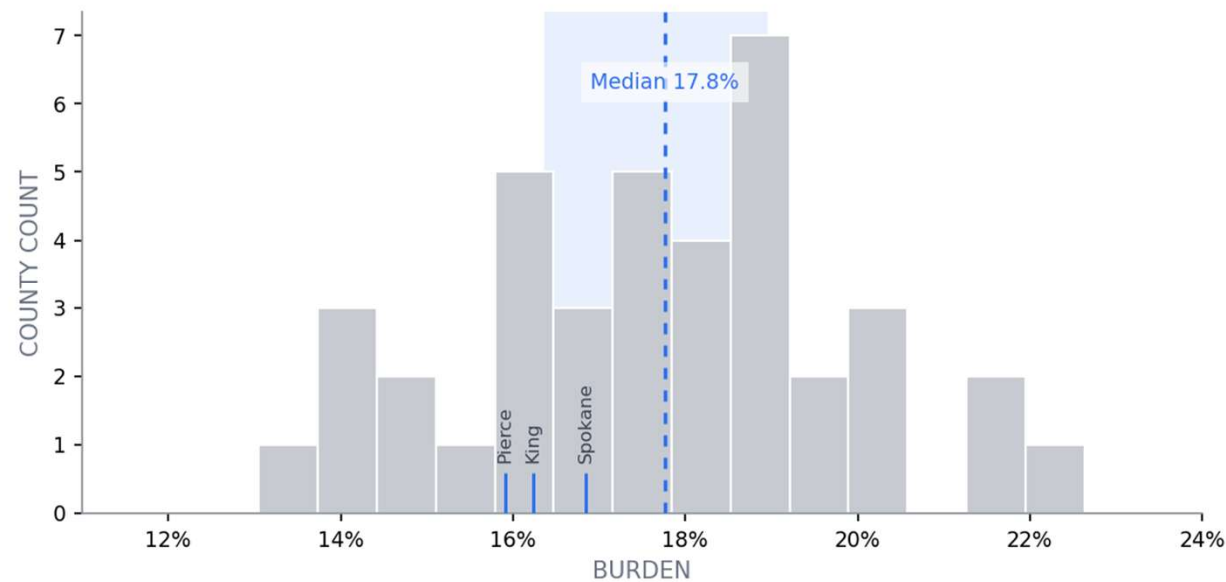


Source: National Database of Childcare Prices

Washington snapshot

- All counties shown is above 7% national benchmark
- Major hubs in Washington: Spokane, King, and Pierce
- The affordability gap is universal across Washington counties

Affordability Snapshot for Washington: 2018

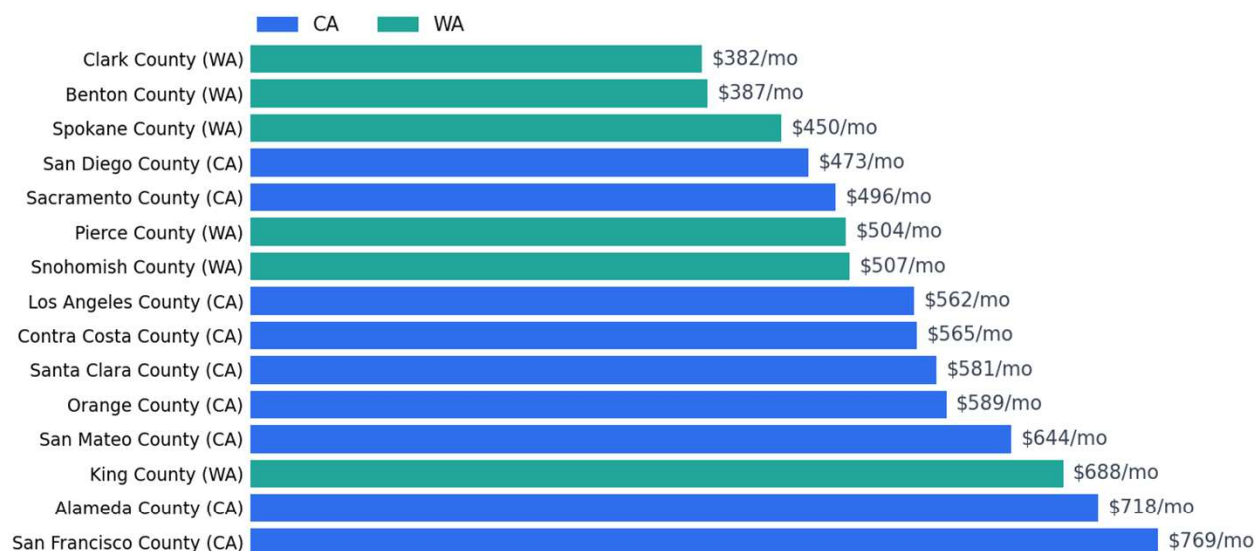


Source: National Database of Childcare Prices

What would it take?

- Counties ranked by stipend needed to reach the 7% affordability benchmark
- The affordability gaps vary by hub, and targeting will be important

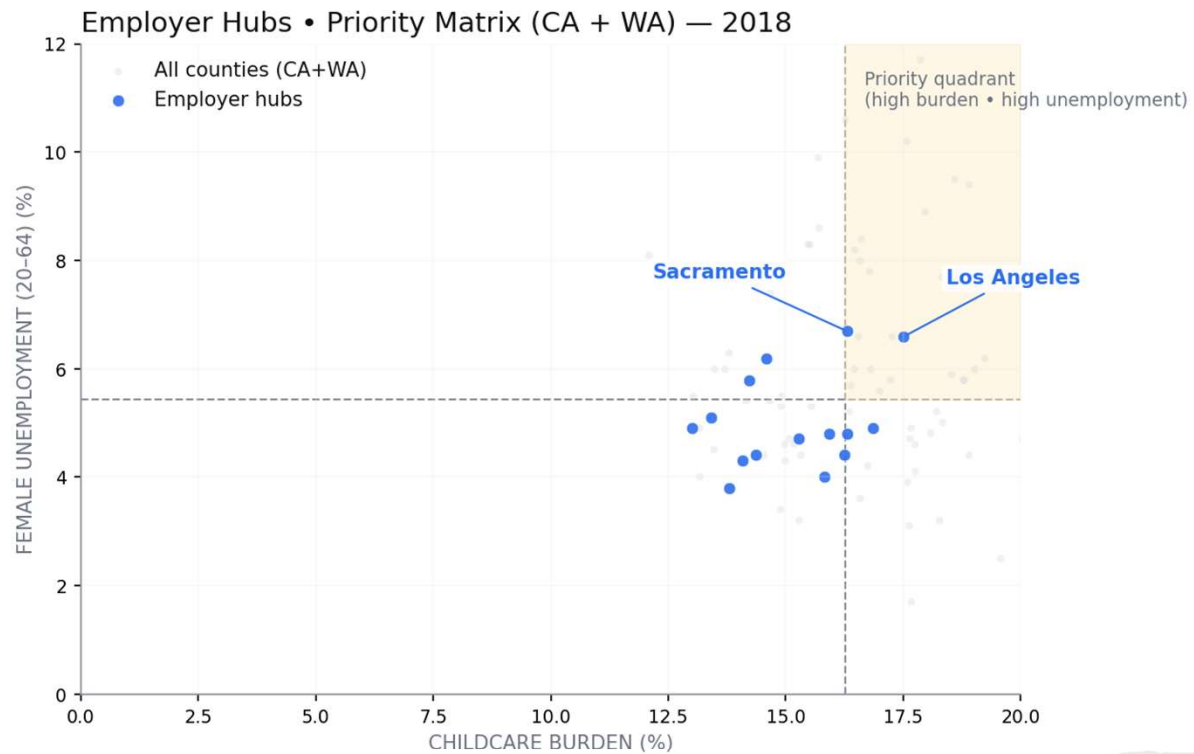
Employer Hubs: Stipend Needed to Reach 7% (2018)



Source: National Database of Childcare Prices; author analysis.

Which counties to focus on?

- The top right quadrant shows the priority for pilot sites, indicating high burden and high unemployment.
- Consider the best hubs to pilot this effort to drive outsized impact.

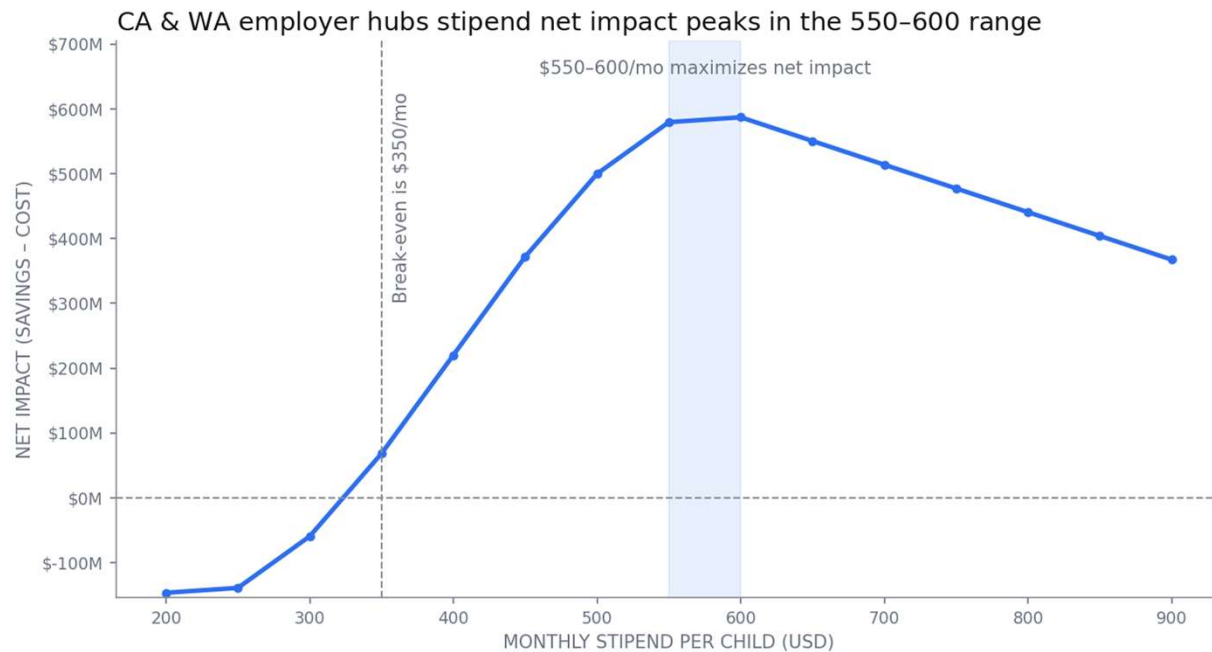


How does this help our bottom line?

- This is not just an employee 'perk' but a strategic business investment



So what is the ROI?



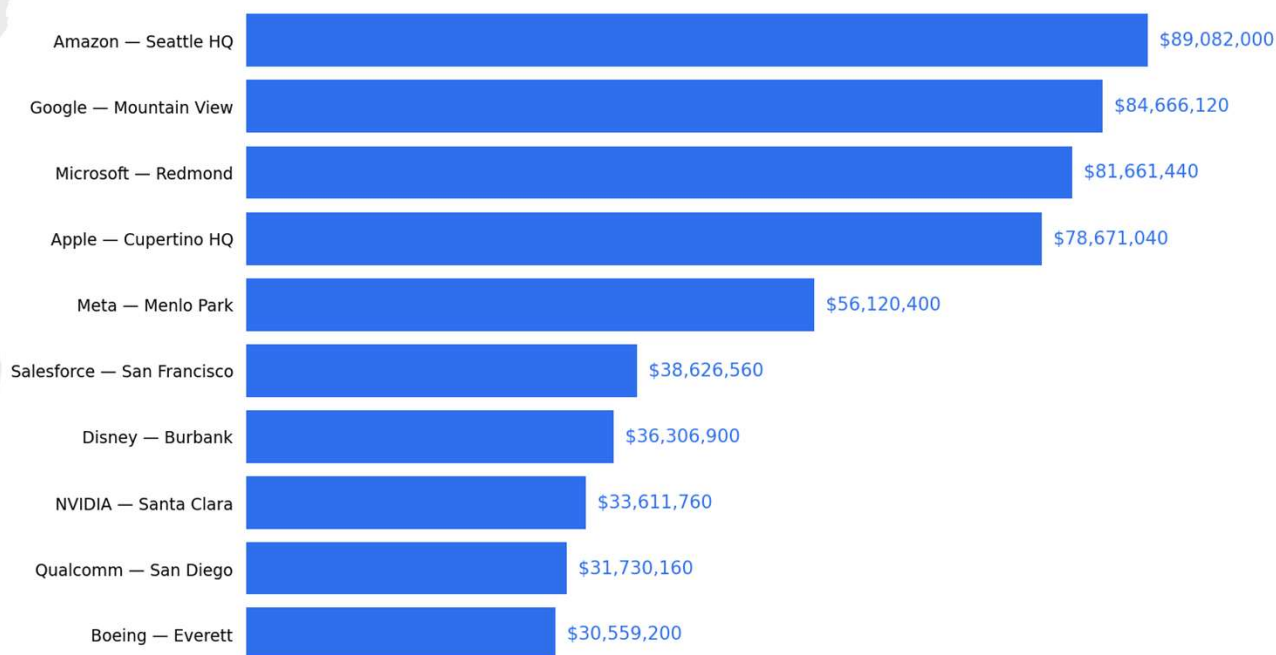
Source: synthetic employer sites file

- Overall breakeven appears to be at \$550-600
 - Will depend on specific site variables
- \$550/mo stipend can provide net impact without overspending

Where to pilot first

- If setting stipend at \$550, net impact is greatest for Google

Top pilot sites by net impact @ \$550/mo (2018)



Source: synthetic employer sites file

Approve a pilot program today!

We can start conservatively:

- Recommended stipend: \$300/mo
- Program cost: \$119M
- Savings (retention): \$165M
- Net impact: \$46M
- **ROI (savings/cost): 38%**
- Participants: 28K

See for yourself using the ROI calculator:

https://www.childcare_stipend_roi.com